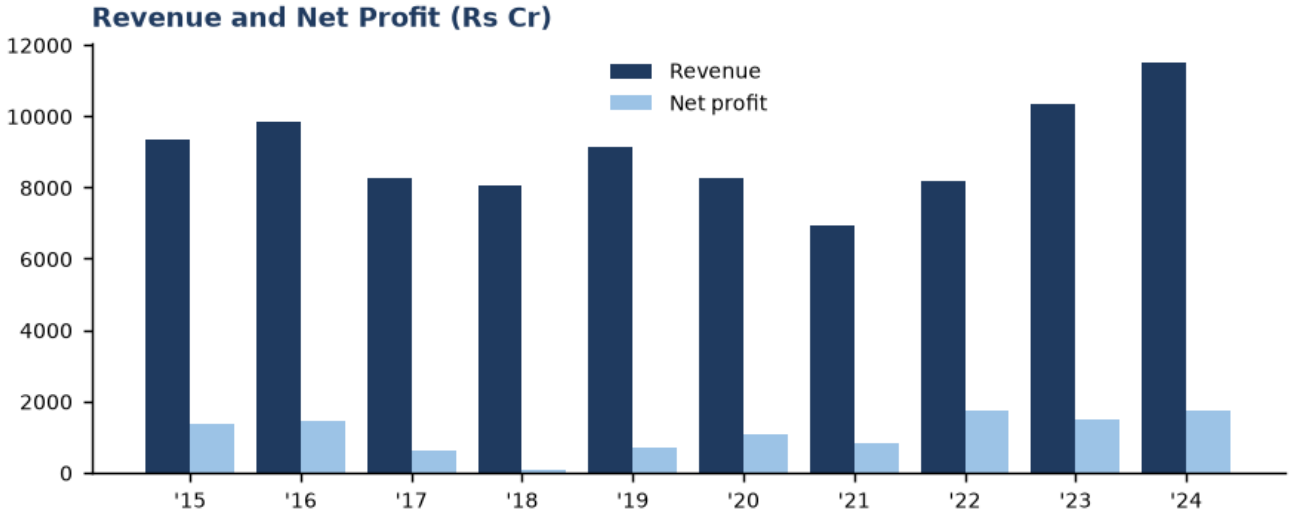
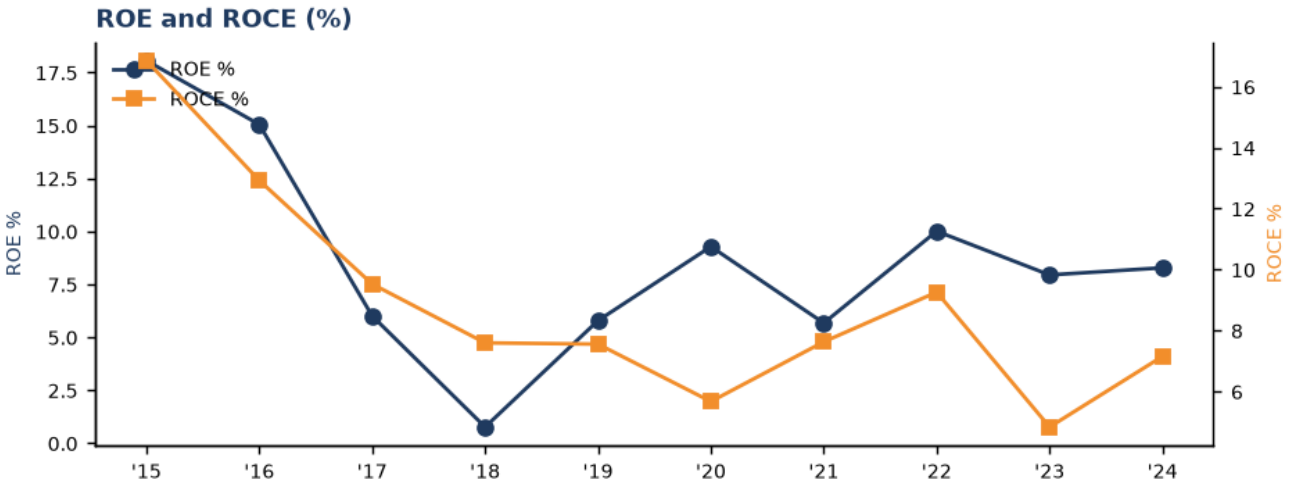
JSW Energy Ltd

JSWENERGY | Energy | Power & Utilities | Latest financial year: 2024-03

ROE	ROCE	Net profit margin
8.3%	**7.2%**	**15.0%**

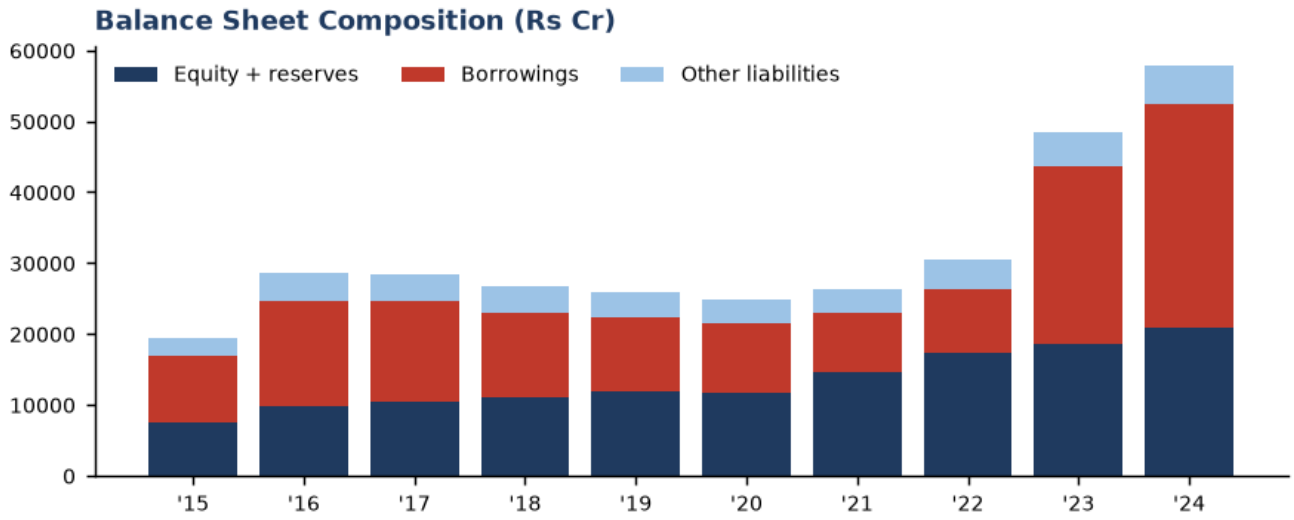
Debt / equity	Revenue CAGR 5yr	Free cash flow (Rs Cr)
1.52	**4.7%**	**-1,963**

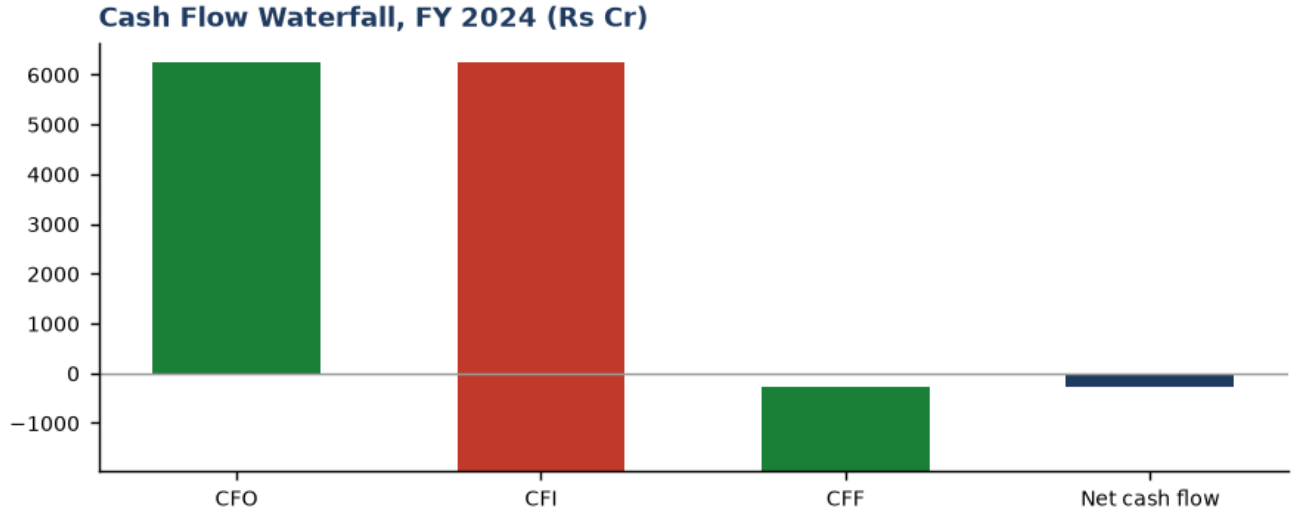




JSW Energy Ltd

JSWENERGY | Balance sheet, cash flow and qualitative view





Key strengths and concerns (auto-generated, with confidence)

Pros

- Revenue growing slower than profits shows improving operating leverage and scale benefits (100%)
- Operating profit margin above 25% indicates strong pricing power and cost discipline (95%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (74%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (61%)

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (81%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (71%)
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (63%)

Capital allocation: Growth Funded by Debt

Pros and cons are generated from KPI threshold rules and are not investment advice. Ratios use annual filings; market data is simulated.